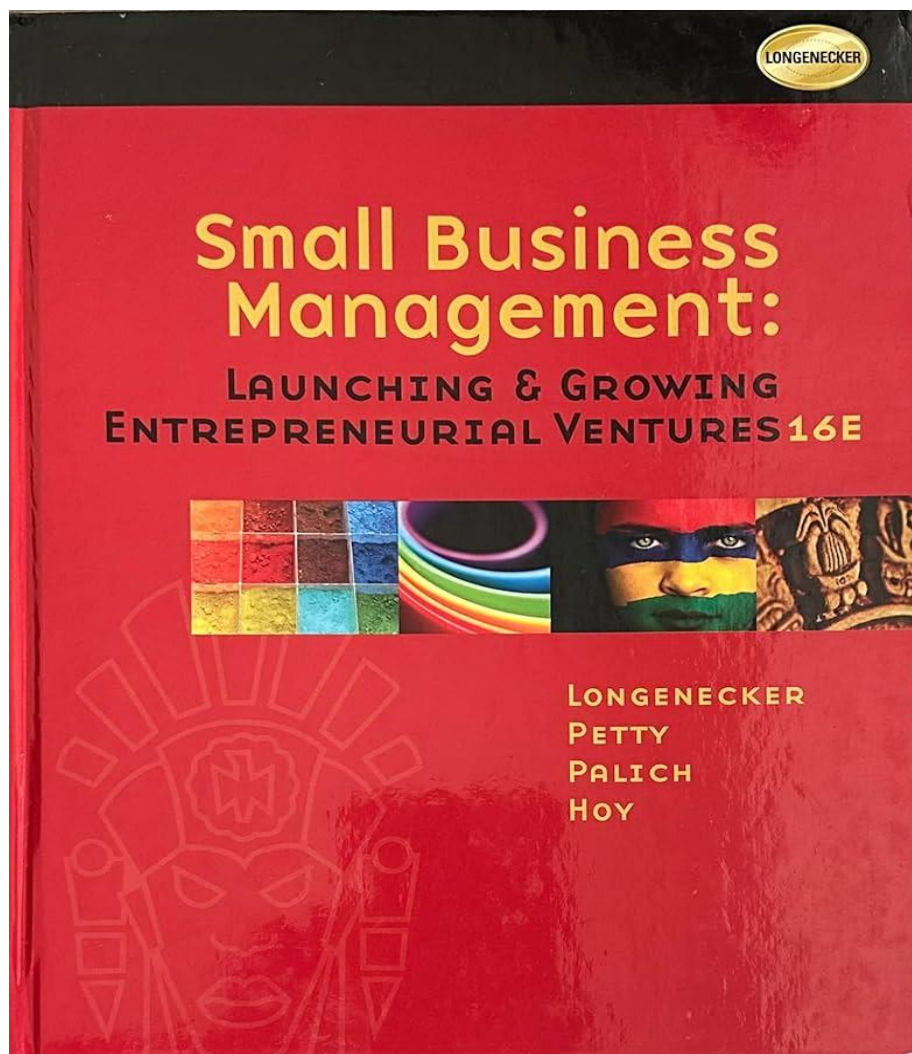




Entrepreneurship and Freelance Work

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Outline :

❑ Chp_04: The Description and Writing of Entrepreneurial Business Models

- ❑ Definition and Importance of business models
- ❑ Key Components of a Business Model
- ❑ Writing an Entrepreneurial Business Model

➤ Introduction to Business Models

□ Definition :

A **business model** is a strategic framework that explains how a company operates, generates revenue, and provides value to its customers. It describes the core aspects of the business, such as the products or services offered, the target market, how the business reaches customers, and how it sustains profitability.

□ Importance for Entrepreneurs :

- A well-defined business model helps ensure clarity in vision, planning, and execution.
- Acts as a roadmap for operational and financial success.

➤ **Key Components of a Business Model**

□ **Main Components:**

- Value Proposition
- Customer Segments
- Revenue Streams
- Key Activities
- Key Resources
- Key Partners
- Cost Structure
- Channels
- Customer Relationships

□ Value Proposition

■ Definition :

- refers to the unique value a business offers to its customers through its products or services.
- A strong value proposition clearly indicates why customers should choose one product or service over another and addresses their specific needs or pain points.

■ Key Questions :

- What problem are you solving?
- How is your solution better than existing alternatives?

Example : Netflix offers on-demand, ad-free streaming of movies and TV shows, providing convenience and variety.

❑ Customer Segments

▪ Definition :

- The specific groups of people or organizations a business aims to serve.

▪ Types of Customer Segments :

- Mass market vs. niche market.
- B2B (business to business) vs. B2C (business to consumer).

Example : Airbnb targets both travelers looking for short-term rentals and homeowners looking to rent out their spaces.

□ Revenue Streams

▪ Definition :

- The methods by which a company earns money from its customers.

▪ Types of Revenue Streams :

- Direct sales, subscriptions, licensing, advertising, etc.

Example : Spotify uses a freemium model where users can pay for premium features (ad-free, downloads).

□ Key Activities

▪ Definition :

- The most important activities a company must perform to operate successfully.

▪ Categories :

- Production, marketing, sales, customer support, research and development.

Example : Apple focuses on innovation, product design, and marketing as its key activities.

❑ Key Resources

▪ Definition :

- The assets (resources) necessary to make a business model work.
- These resources can be **tangible** or **intangible** and are essential for executing the company's business model.

▪ Types of Resources :

- Human, intellectual (patents, brands), financial, and physical resources.

Example : Uber's key resources include its technology platform and driver network.

❑ Key Partners

▪ Definition :

- External organizations or individuals that provide critical support or resources to help a business succeed.

▪ Common Partners :

- Suppliers, distributors.

Example : Amazon partners with delivery services and third-party sellers to expand its marketplace.

❑ Cost Structure

▪ Definition :

- refers to the major expenses a business incurs to operate and deliver its products or services.
- These costs can be either **fixed** or **variable**, depending on their nature and relation to business activity.

▪ Types of Costs :

- Fixed costs (rent, salaries) vs. variable costs (production, shipping).

Example : A software company's major costs might include server maintenance and development team salaries.

❑ Channels

▪ Definition :

- Channels are the various methods and pathways through which a company delivers its products or services to its customers.
- Effective channels help businesses reach their target audience and provide value to customers by ensuring the product is **accessible** and **easy to purchase**.

▪ Types of Channels :

- Physical (retail stores), digital (e-commerce, app-based), direct vs. indirect.

Example : Nike uses both retail stores and an online platform to reach customers.

❑ Customer Relationships

▪ Definition :

- refer to the various ways a company interacts with and engages its customers.
- These relationships are crucial for building customer **loyalty**, enhancing satisfaction, and ultimately driving sales

▪ Examples of Customer Relationships :

- Self-service (FAQs), personalized support, communities, automated services (chatbots).

Example : Amazon is known for its strong customer service, providing personalized support through multiple channels like customer review section, chatbots and personalized recommendations .

➤ **Writing an Entrepreneurial Business Model**

□ **Step-by-Step Process:**

- Define the Value Proposition.
- Identify Customer Segments.
- Establish Key Partners and Resources.
- Detail Revenue Streams and Cost Structure.
- Develop a go-to-market strategy, including Channels and Customer Relationships.

❖ Business Model Canvas

❑ What is the Business Model Canvas?

- A strategic management tool that helps visualize and structure the components of a business model.
- consists of nine blocks.

❑ Nine Building Blocks :

- Represents the same nine elements discussed earlier (value proposition, customer segments, etc.).

Example : Business Model Canvas for Airbnb

- Value Proposition** : Affordable, unique lodging experiences.
- Customer Segments**: Travelers, homeowners.
- Revenue Streams** : Commission from bookings.
- Channels** : Website, app.
- Customer Relationships** : Peer-to-peer trust (ratings/reviews).

Example : Business Model Canvas for Uber

- ❑ **Value Proposition** : Convenient, on-demand transportation.
- ❑ **Customer Segments** : Riders, drivers.
- ❑ **Revenue Streams** : Ride fares, service fees from drivers.
- ❑ **Key Activities** : App development, marketing, driver recruitment.

❖ Common Business Model Patterns

□ Key Business Model Types:

- **Freemium** : Free basic services, charge for premium features (e.g., Spotify).
- **Subscription** : Recurring payments for continuous service (e.g., Netflix).
- **Marketplace** : Connecting buyers and sellers, charging a commission (e.g., eBay).
- **Direct Sales** : Selling directly to consumers (e.g., Tupperware).

❖ Business Model Innovation

□ What is Business Model Innovation?

- Adapting or reinventing the business model to meet changing market demands or seize new opportunities.

Examples :

- Tesla with direct-to-consumer electric vehicle sales.
- Netflix pivoting from DVD rentals to streaming services.

❖ Challenges in Developing Business Models

□ Common Obstacles:

- Market misalignment: Offering something the market doesn't need.
- High costs or low scalability.
- Poor customer understanding.
- Inflexible models that cannot adapt to change.

❖ Evaluating a Business Model

□ Criteria for Success :

- Scalability : Can the business grow efficiently?
- Profitability : Can it generate sustainable profits?
- Customer satisfaction : Does it solve a real problem effectively?
- Competitive advantage : What makes it unique?

❖ Tools for Developing Business Models

□ Helpful Tools :

- Business Model Canvas
- Lean Canvas (for startups)
- SWOT Analysis (Strengths, Weaknesses, Opportunities, and Threats)
- Financial modeling software (e.g., QuickBooks, Xero).

key point : These tools provide structured approaches for developing and refining business models, allowing entrepreneurs to visualize their strategies, analyze their strengths and weaknesses, and make informed financial decisions.

Real-World Example : **Shopify**

▪ **Business Model :**

- E-commerce platform that provides tools for small businesses to sell online.
- Revenue from subscriptions and transaction fees.

▪ **Success Factors :**

- Focused on customer needs.
- Scalable solution with a strong partner network.

❖ Future of Business Models

□ Trends in Business Models :

- **Platform Economy** : Companies like Uber and Airbnb leverage platform-based models connecting supply and demand.
- **Subscription Economy** : Recurring revenue models are becoming more popular in various industries.
- **Sustainability** : Increasing focus on environmentally conscious and socially responsible business models.

Conclusion

- A solid business model is the foundation of entrepreneurial success.
- Entrepreneurs must carefully craft, adapt, and evaluate their business models to stay competitive and thrive.
- Understanding key components and real-world applications helps in writing effective business models.